# 25
# Overriding considerations

**Learning objectives**

Anti-money laundering and counter-terrorist financing regulations and economic sanctions can all place restrictions on the operation of a documentary credit. This chapter explains the impact of anti-money laundering and counter-terrorist financing regulations. It also identifies how economic sanctions can affect the payment obligations that exist under a documentary credit.

After studying this topic, you should be able to:

- explain the impact of anti-money laundering and anti-terrorist financing rules and regulations on trade and on the use of documentary credits; and
- identify the impact of sanctions.

## 25.1 Money laundering and terrorist financing

### 25.1.1 The practice of money laundering

The term 'money laundering' is used to refer to all techniques used to conceal the origin of money that has been illegally obtained or which is being used for illegal purposes. It gets its name from the process of turning 'dirty' money into 'clean'. This can be achieved in a variety of ways, whereby the underlying objective is to disguise or confuse any audit trail that could link the clean (that is, apparently legitimate) funds to the dirty (that is, illegally obtained) money.

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One technique is to use the proceeds of crime as a cash deposit to induce a bank to issue a documentary credit covering the purchase of goods, from a legitimate seller, which will then be sold in the local market. The proceeds of such a transaction will then be perceived as clean.

Money launderers use a variety of other techniques to achieve their objectives, including the following.

- **Cash transactions** – cash can be deposited into bank accounts in jurisdictions with greater bank secrecy or a less rigorous anti-money laundering environment. Businesses that receive cash payments can deposit both legal and illegal cash receipts in bank accounts, claiming all to be legitimate earnings. They can also pay employees partly or fully in cash to avoid having to record illegal cash receipts.

- **Under- or overvaluing invoices** – inflating the true value of an invoice can disguise the movement of illegal funds.

- **Shell companies and trusts** – these can disguise the true owner of funds, especially if the jurisdiction in which the shell company or trust is located does not require the disclosure of the beneficial owner. The use of shell banks is explicitly prohibited by the United States' USA PATRIOT Act of 2001 ('USA PATRIOT' being an acronym deriving from the full title of the Act – that is, the Uniting and Strengthening America by Providing Appropriate Tools Required to Intercept and Obstruct Terrorism Act).

- **Bank capture** – in extreme cases, money launderers may have a controlling interest in a bank, allowing them to move funds without scrutiny.

All of these have implications for banks involved in a documentary credit. In each case, a money launderer's priority is to make a transaction look legitimate. To achieve this, the money launderer may try to use all of the normal trade finance services offered by a bank to legitimate import–export businesses.

## 25.1.2 The practice of terrorist financing

Although terrorist financing may involve money laundering, in principle the two activities are distinct. Financial support for terrorist activities may come directly from certain states or jurisdictions, or from organisations large enough to be able to collect and make the funds available to the terrorist organisation. Terrorism may also be funded from sources channelled more directly through the financial system. A terrorist organisation may even engage in revenue-generating activities of its own, which often may be – or certainly appear to be – legitimate businesses. Unlike other criminal

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organisations, however, terrorist groups may also derive some of their funding from income that individuals or entities have legitimately earned.

From the perspective of a bank engaged in a documentary credit, the main challenge is to 'know its customer' to try to identify the true beneficial owners of the parties involved and to ensure that the transaction is in line with its normal course of business.

### 25.1.3 Combating money laundering and terrorist financing

Over a number of years, legislation and regulation has been introduced at both national and international levels to try to combat money laundering and terrorist financing. The lead international body in the fight against money laundering and terrorist financing is the Financial Action Task Force (FATF). The FATF was established in 1989 and has developed a list of guidelines for national governments and regulators to follow. Known as the '40 Recommendations' (FATF, 2004), these were first introduced in 1990 and most recently updated in 2012.

Although the FATF Recommendations apply internationally, each country is responsible for developing its own legislation to put them into practice. As a result, specific legal requirements vary from country to country.

It is, however, possible to identify general rules that a bank should follow when engaged in a documentary credit transaction. These rules place a responsibility on banks and other financial institutions to exercise due diligence when establishing relationships with customers, to carry out occasional reviews of transactions and to report any suspicion of money-laundering or terrorist-financing activity. Banks therefore need to adopt procedures to ensure that they:

- know their customers;
- know the beneficial owners of parties to any transaction; and
- understand the nature of any underlying business relationship and transaction.

Each bank involved in a documentary credit will have its own operating procedures for each of these issues. These need to be followed carefully.

In most cases, banks will not have a direct relationship with both the applicant and the beneficiary in a documentary credit. (There are some instances in which only one bank is involved as the issuing bank, but these are often confined to documentary credits covering domestic or local trade.) As a result, banks will work with correspondent banks both

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to transmit documents and to make payments. Each bank will also need to scrutinise the controls set in place by its correspondent banks to address the above key criteria. This applies whether the correspondent bank is a foreign subsidiary or branch in the same banking group, or a separate institution.

In addition, the FATF maintains a list of higher-risk countries (that is, those in which it assesses anti-money laundering and counter-terrorist financing rules to be insufficiently robust). If a correspondent bank is located in one of these countries, banks have a greater responsibility to conduct enhanced scrutiny of their counterpart(s).

These measures are designed to avoid illegal transactions taking place. However, it is still possible that a member of staff within a bank may suspect money laundering or terrorist financing. National legislation places a personal responsibility on each individual within a bank (as well as on the bank or financial institution employer) to report such suspicions.

It is an offence under the law to help someone to control assets that an individual knows, or has reasonable grounds to suspect, are the proceeds of crime or are intended to support terrorism. This assistance includes a failure to report this suspicion. Individuals are also prevented from disclosing to a customer or any other outside party that they are, or may be, under investigation.

To avoid committing offences under these rules, staff should follow their bank's operating procedures. Suspicion reports should be filed at the earliest opportunity. In some circumstances, this may be after a transaction has taken place.

To avoid disclosure to a customer, it may be appropriate to avoid contacting them. However, if a bank has ongoing business with the customer that involves routine contact, continuing customer contact will not usually constitute an offence as long as only routine matters are discussed.

In summary, it is essential to adhere to the following rules.

- **Know your customer (KYC)** – this means following identity verification procedures designed to establish the identity of those in control of the customer.

- **Know your customer's business** – this means understanding the likely transactional requirements in terms of documentary credits, which will help to identify possible illegal transactions. This may involve asking about the source of the customer's funds, the type of transactions to expect, along with their size and frequency, the customer's dealings with foreign countries, the purpose of transactions or the services that the bank is to provide.

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- **Know your business (obligations)** – staff members also need to understand their and the bank's obligations under a documentary credit, given the role that the bank is performing. This includes following the correct procedures.

- **Keep records** – each bank must record the detail of all transactions, including size and currency. Other information that must be recorded includes account-opening details, details of documents used to verify identity and details of any changes to signatories. The FATF's 40 Recommendations require that this information be held for five years, although some jurisdictions may have more onerous requirements.

  Where the money-laundering risk is at its greatest, banks will require more extensive records that may include the purpose of specific arrangements, the identities of parties to a transaction and other relevant information.

  As well as these details, the bank and staff members should also keep records of any contact with customers and other enquiries that they may make in connection with customers' arrangements.

- **Report suspicions** – staff members must always be alert for customers, arrangements, assets and transactions that give rise to a suspicion of money laundering or terrorist financing. Any suspicions must be reported. The procedures for filing a suspicion report will be outlined in a bank's operating procedures. Such reports usually have to be filed with a nominated officer or team. That nominated officer or team has the responsibility for deciding whether the report is submitted to external authorities.

Each bank's procedures should specify what its staff members must do. This will depend on various factors, including the extent of customer contact and the degree of risk attached to the services that the member of staff and the bank are providing.

Failure to follow these procedures may result in damage to the bank's reputation, and criminal proceedings against both the bank and the individual concerned.

## 25.2 Sanctions

International sanctions can have a significant impact on the payment obligation under a documentary credit. Economic sanctions, in the form of trade restrictions, are sometimes imposed on countries or individuals by the United Nations, the European Union or governments (either acting alone or jointly with others). These sanctions can be imposed without notice

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and with immediate effect, with the result that even when a complying presentation is made, the beneficiary will not receive payment.

There is no mention in UCP 600 of the impact of sanctions. Certainly, if sanctions are imposed and a bank considers the transaction to be subject to those sanctions, the bank will not pay. This applies whether or not a sanctions clause is included in the documentary credit.

Because the application of sanctions is not always clear, many banks are seeking to incorporate sanctions clauses into documentary credits to protect their own position. An ICC (2014) *Guidance Paper on the Use of Sanctions Clauses in Trade-finance Related Instruments Subject to ICC Rules* (ICC Document no. 470/1238), published in June 2014, advised against the use of sanctions clauses by banks, especially where such clauses can cast doubt on the undertaking given by the bank in its credit or in an advice of confirmation. From a beneficiary's perspective, such clauses can add uncertainty, because they can give the bank some discretion whether or not to pay if sanctions are imposed.

Sanctions are a force of law, which will override the rules of UCP 600. Imposed sanctions may direct banks not to undertake business, or may impose a duty on banks to refuse payments for transactions already in existence.

## References

FATF (2004) *The 40 recommendations* [pdf]. Available at: http://www.fatf-gafi.org/media/fatf/documents/FATF%20Standards%20-%2040%20Recommendations%20rc.pdf.

ICC (2014) *Guidance paper on the use of sanctions clauses in trade-finance related instruments subject to ICC Rules* (Document no. 470/1238). ICC: Paris.

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